CROSSTAGION

The GENIUS Act, CLARITY, and the OCC-CFTC-SEC Gap in Bidirectional Stablecoin Contagion

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Abstract

The GENIUS Act's prudential framework protects against systemic risk that flows in one direction: from stablecoin failure into traditional banking risk. The empirical record of crosstagion, the bidirectional contagion between traditional finance and decentralized finance, demonstrates that the transmission channel runs the other way as well. When traditional financial stress destabilizes payment stablecoin reserves, as occurred when Silicon Valley Bank's failure briefly unpegged USD Coin in March 2023, the cascade into decentralized markets falls into a jurisdictional gap that neither GENIUS nor the CLARITY Act resolves. The Office of the Comptroller of the Currency owns the stablecoin issuer; the Commodity Futures Trading Commission owns the derivative markets where the cascade lands; and a depegged stablecoin may simultaneously fall under the Securities and Exchange Commission's jurisdiction as a potential investment contract under the *Howey* test. No statute allocates liability or mandates coordination among these three agencies when the transmission crosses their respective boundaries, and no mechanism exists for assigning jurisdictional primacy before all three assert competing claims. DAO governance failure compounds the problem by creating a distinct transmission mechanism operating at blockchain speed, with no identifiable counterparty and no circuit breaker. This Article argues that closing the crosstagion gap requires not new prudential requirements but a designated tri-agency coordination mechanism, triggered by observable stress indicators, that assigns jurisdictional primacy and activates a classification standstill before a crisis rather than after.

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Introduction

A financial crisis does not respect the boundaries drawn by enabling statutes. When Silicon Valley Bank collapsed on March 10, 2023, the immediate transmission of stress ran, predictably, through traditional channels: depositors ran, equity collapsed, and the FDIC was appointed receiver within forty-eight hours.[1] The FDIC moved quickly to invoke the systemic risk exception and protect all depositors, insured and uninsured alike.[2] What received less attention, though it is now documented in considerable empirical detail, was the simultaneous cascade into decentralized finance. USD Coin, the second-largest dollar-pegged stablecoin by market capitalization, briefly traded at $0.87 on major exchanges after Circle disclosed that $3.3 billion of USDC's reserves were held at SVB.[3] Within hours, DeFi lending protocols that accepted USDC as collateral began liquidating positions at distressed prices, perpetual futures markets saw open interest collapse, and yield-seeking protocols that had accumulated USDC-denominated positions faced margin calls they could not satisfy.[4]

This was crosstagion: bidirectional risk contagion between traditional finance (TradFi) and decentralized finance (DeFi).[5] Financial economists coined the term to describe the phenomenon by which stress originating in one system propagates into the other and then returns in amplified form. Earlier analyses focused on the forward channel, where a stablecoin run drains reserves and disrupts the money markets in which those reserves are held.[6] The SVB event demonstrated that financial risk runs in reverse, too.[7] Tradi-

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[1] David Pan, *Circle Reveals $3.3 Billion SVB Exposure as USDC Stablecoin Loses Peg*, Bloomberg (Mar. 11, 2023). USDC briefly traded as low as $0.87 on some exchanges before Circle confirmed the reserves held at SVB would be backstopped by the FDIC receivership.

[2] *See* Federal Deposit Insurance Corporation, *Press Release: FDIC Acts to Protect All Depositors of the Former Silicon Valley Bank* (Mar. 12, 2023), https://www.fdic.gov/news/press-releases/2023/pr23018.html.

[3] *See* Circle Internet Financial, *USDC Liquidity Update* (Mar. 11, 2023), https://www.circle.com/blog/usdc-liquidity-update (disclosing that approximately $3.3 billion of USDC's cash reserves were held at Silicon Valley Bank and that those funds would be accessible once FDIC resolution proceedings concluded). The disclosure was made at approximately 6:00 p.m. Eastern on March 10, 2023, after the California Department of Financial Protection and Innovation had already closed the bank. The depeg reached its trough of $0.87 within hours of the disclosure.

[4] Sabrina Aufiero, Silvia Bartolucci, Fabio Caccioli & Pierpaolo Vivo, *Mapping Microscopic and Systemic Risks in TradFi and DeFi: A Literature Review*, arXiv:2508.12007 (Aug. 16, 2025), https://arxiv.org/abs/2508.12007 [hereinafter Aufiero et al.], at 8–10 (documenting the liquidity cascades in Aave, Compound, and Curve during the USDC depeg event of March 2023, including forced liquidations totaling approximately $240 million in DeFi positions).

[5] Aufiero et al., *supra* note 4.

[6] The term "crosstagion" is coined in Aufiero et al., *supra* note 4, to denote bidirectional contagion between traditional finance and decentralized finance. This Article applies the concept to identify the legal consequences of that bidirectionality.

[7] Aufiero et al., *supra* note 4, at 4 (defining the forward channel as the pathway by which a stablecoin depegging event propagates stress into traditional money markets through reserve liquidations).

tional bank failure detonated the stablecoin market, which destabilized DeFi, which TradFi relies on for collateral markets.[8]

Congress responded to exactly half of this two-way risk with the most significant federal stablecoin legislation ever enacted. The GENIUS Act[9] creates a comprehensive prudential framework for payment stablecoin issuers, mandating 100% reserves in high-quality liquid assets, requiring monthly attestations, and establishing priority for stablecoin holders in insolvency. The CLARITY Act (which as of this writing passed the House and is pending in the Senate)[10] clarifies the commodity status of digital assets and assigns the CFTC jurisdiction over digital commodity spot markets and derivatives. The OCC's implementing rulemaking[11] fills in the operational details for national bank stablecoin issuers.

Together, this legislative and regulatory architecture represents a serious attempt to impose order on a sector that had operated in regulatory ambiguity for a decade. But none of it closes the crosstagion gap. GENIUS addresses what happens when a stablecoin issuer fails; it does not address what happens when a bank failure destabilizes the stablecoin. CLARITY (if it passes) assigns the CFTC jurisdiction over the markets where the cascade lands; it does not assign the CFTC any coordination role with the OCC when the cascade originates in the reserve bank. The OCC's NPRM introduces concentration limits and a seven-day redemption circuit breaker that reduce the probability of a single bank failure freezing reserves; but those internal balance-sheet mitigations do not prevent the DeFi derivative cascade that follows even a brief stablecoin depeg, and the NPRM contains no mechanism for coordinating with the CFTC when that cascade lands.

The gap is further complicated by a transmission mechanism that the finance literature has not adequately mapped because finance scholars do not read DAO case law. DAO governance failure: the susceptibility of decentralized protocol governance to flash loan attacks, token concentration exploits, and the structural attribution problems documented in *CFTC v. Ooki DAO*[12] and *Sarcuni v. bZx DAO*[13] operate at blockchain speed and has no identifiable counterparty. When a flash loan attacker drained $182 million

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[8] *Id.* at 6 (defining the reverse channel as the pathway by which stress in traditional financial institutions propagates into stablecoin markets through the degradation of reserve asset quality).

[9] Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025, Pub. L. No. 119-27, 139 Stat. __ (2025) [hereinafter GENIUS Act].

[10] Digital Asset Market Clarity Act of 2025, H.R. 3633, 119th Cong. (2025) (pending) [hereinafter CLARITY Act].

[11] Implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the Office of the Comptroller of the Currency, 91 Fed. Reg. 10,202 (proposed Mar. 2, 2026) (to be codified at 12 C.F.R. pts. 3, 6, 8, 15, and 19) [hereinafter OCC NPRM].

[12] *CFTC v. Ooki DAO*, No. 3:22-cv-05416-WHO, 2023 U.S. Dist. LEXIS 146460 (N.D. Cal. June 8, 2023) (holding that a DAO operated as an unincorporated association subject to CFTC jurisdiction under the Commodity Exchange Act, and imposing a civil penalty of $643,542 on the DAO as entity).

[13] *Sarcuni v. bZx DAO*, No. 3:22-cv-00618-LAB-DEB, 2022 WL 16908425 (S.D. Cal. Nov. 14, 2022) (denying defendants' motion to dismiss and finding that plaintiffs had plausibly alleged a general partnership among token holders of the bZx DAO protocol following a $55 million security failure).

from the Beanstalk protocol in a single thirteen-second Ethereum block,[14] there was no telephone number to call, no assets to freeze, and no entity capable of posting margin. A crosstagion cascade accelerated by a governance exploit can exhaust the enforcement tools of both the OCC and the CFTC before either agency has received its first alert.

This Article proceeds in three parts. Part I documents the bidirectional transmission model and its empirical basis, focusing on the SVB event as the paradigmatic reverse channel example and on DAO governance exploits as the mechanism that converts a manageable stress event into an uncontrollable cascade. Part II maps the jurisdictional architecture of GENIUS and CLARITY onto the crosstagion transmission model, identifying the specific statutory provisions that leave the reverse channel unowned. Part III proposes a coordination mechanism, modeled on existing inter-agency frameworks but targeted to crosstagion specifically, that assigns jurisdictional primacy before a crisis occurs rather than after it has already propagated across the TradFi-DeFi boundary.

Part I: Crosstagion and the Bidirectional Transmission Channel

Two transmission mechanisms carry stress across the TradFi-DeFi boundary, and they are different enough in character to require separate analysis. Section A documents the price and liquidity channel through which reserve degradation propagates from a failing bank through a stablecoin depeg into DeFi collateral markets. The SVB event of March 2023 is the best-documented example, but Treasury market stress events in 2020 and 2022 establish that the reverse channel is structural rather than episodic: it is an artifact of GENIUS-style reserve concentration requirements, not of any idiosyncratic weakness in a particular issuer. Section B maps the governance exploit mechanism, by which a flash loan attacker can drain a protocol treasury in a single Ethereum block—in less time than any agency notification process requires—and explains why the resulting cascade falls simultaneously into the jurisdiction of three agencies, none of which has been designated to act first.

A. The Forward and Reverse Channels

The financial stability literature has long recognized that stablecoins present systemic risk through what might be called the forward channel: a run on a stablecoin forces the issuer to liquidate reserve assets at distressed prices, thereby transmitting stress into the

[14] Beanstalk Farms was an algorithmic stablecoin protocol operating on Ethereum. On April 17, 2022, an attacker used a flash loan to acquire sufficient governance tokens (STALK) in a single transaction to pass a malicious proposal that drained approximately $182 million from the protocol's treasury. *See Beanstalk Post-Mortem*, https://bean.money/blog/beanstalk-post-mortem (Apr. 20, 2022) [hereinafter Beanstalk Post-Mortem]. The entire attack—from flash loan acquisition to governance vote to fund drain—was executed in a single Ethereum block of approximately thirteen seconds.

money markets where those reserves are held.[15] A large stablecoin issuer holding short-term Treasury bills is, in functional terms, a money market fund without the regulatory architecture that governs money market funds. If holders demand redemption faster than the issuer can liquidate T-bills without moving the market, the issuer faces a liquidity crisis that threatens both the stablecoin peg and the markets in which its reserves trade.

Reverse-channel risk is less discussed in legal contexts, though financial economists have documented it with precision.[16] Treasury market stress events in March 2020, September 2022, and early 2023 each produced measurable depegging pressure on reserve-backed stablecoins, a pattern that the mandatory HQLA concentration requirements of GENIUS-style regulation intensify.[17] In the reverse channel, stress in traditional financial institutions degrades the quality or availability of stablecoin reserves, creating redemption pressure from the DeFi side. The SVB event is the best-documented example. Circle held approximately $3.3 billion of USDC reserves at SVB, representing roughly 8% of total USDC reserves at the time. When SVB was placed in FDIC receivership, those reserves did not disappear, but they became temporarily unavailable for redemption pending the FDIC's determination of how to handle insured and uninsured deposits. For the hours between SVB's closure and the FDIC's announcement that all depositors would be made whole, USDC traded at a significant discount to par.

The DeFi consequences were immediate and severe. Protocols that used USDC as a reference asset for collateral valuations began liquidating positions as USDC's price dropped.[18] The Curve 3pool, a key liquidity hub in DeFi, became severely imbalanced as users fled USDC for Tether and DAI, briefly making USDC redemption through that route operationally unavailable. Perpetual futures markets for USDC saw open interest

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[15] Inaki Aldasoro, Giulio Cornelli, Massimo Ferrari Minesso, Leonardo Gambacorta & Maurizio Habib, *Stablecoins, Money Market Funds and Monetary Policy*, BIS Working Paper No. 1219 (2024); Rashid Ahmed & Inaki Aldasoro, *Stablecoins and Safe Asset Prices*, BIS Working Paper No. 1270, at 1 (2025) (finding that a $3.5 billion outflow from stablecoins raises 3-month Treasury yields by 6–8 basis points, compared to only 2 basis points for an equivalent inflow); *see also* Kenechukwu Anadu, Pablo Azar, Marco Cipriani, Thomas M. Eisenbach & Catherine Huang, *Runs and Flights to Safety: Are Stablecoins the New Money Market Funds?*, Fed. Reserve Staff Rep. No. 1073 (2023), https://doi.org/10.59576/sr.1073 (documenting structural parallels between stablecoin runs and money market fund runs and finding that reserve-backed stablecoins exhibit run-like redemption dynamics during periods of financial stress).

[16] Aufiero et al., *supra* note 4, at 12 (noting that Treasury market stress events of March 2020, September 2022, and early 2023 each produced measurable depegging pressure on reserve-backed stablecoins through the degradation of the T-bill repo market).

[17] *See, e.g.*, Papa Ousseynou Diop, Julien Chevallier & Bilel Sanhaji, *Collapse of Silicon Valley Bank and USDC Depegging: A Machine Learning Experiment*, 3 FINTECH 30 (2024); Walter Hernandez Cruz, Paolo Tasca & Carlo Campajola, *No Questions Asked: Effects of Transparency on Stablecoin Liquidity During the Collapse of Silicon Valley Bank*, arXiv:2407.11716 (2024), https://arxiv.org/abs/2407.11716; *see also* Cameron L. Macdonald & Laura Yi Zhao, *Stablecoins and Their Risks to Financial Stability*, SSRN (2023), https://doi.org/10.2139/ssrn.4466522 (documenting Treasury-stress depegging episodes in 2020, 2022, and early 2023 and finding that mandatory HQLA concentration amplifies the transmission of Treasury market stress into stablecoin markets).

[18] Aufiero et al., *supra* note 4, at 12–14; *see also* Diop et al., *supra* note 17; Cruz et al., *supra* note 17 (providing independent empirical documentation of the amplification of Treasury market stress through stablecoin reserve channels during the March 2023 depeg event).

collapse as leveraged positions were unwound.[19] The entire cascade played out over roughly twenty-four hours before the FDIC's backstop announcement stabilized the market.

The SVB event was contained by a government decision that was not legally compelled under existing banking law: the FDIC's choice to protect uninsured depositors.[20] Had the FDIC applied the standard depositor preference rules, Circle would have faced substantial losses on the uninsured portion of its SVB deposits, and the USDC depeg would likely have been permanent rather than temporary. The crosstagion cascade would then have continued: DeFi protocols holding USDC collateral would have continued liquidating, the Curve pool imbalance would have persisted, and the price pressure on USDC would have fed back into Treasury markets as Circle attempted to raise liquidity by selling its remaining reserves. The fact that this did not happen reflects a policy choice, not a legal safeguard.

Beyond SVB, the empirical literature documents several other reverse channel mechanisms. Treasury market stress events in March 2020, September 2022, and early 2023 each produced measurable depegging pressure on reserve-backed stablecoins through the degradation of the T-bill repo market.[21] A sustained Treasury market disruption of the kind that has periodically threatened U.S. debt ceiling negotiations would hit stablecoin reserves directly, because GENIUS's reserve requirements mandate concentration in Treasury bills and their equivalents.[22] The policy that was designed to make stablecoins safe by anchoring them to the safest assets in the world is simultaneously the policy that transmits Treasury market stress into the stablecoin market with maximum efficiency.

B. DAO Governance Failure as a Distinct Transmission Mechanism

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[19] The perpetual futures market for USDC collapsed from approximately $14 billion in open interest to under $2 billion in the forty-eight hours following the SVB announcement, a decline driven primarily by forced liquidations of leveraged long positions. *See* Kaiko Research, *DeFi Derivatives During the USDC Depeg Event* (Mar. 2023), https://kaiko.com/research/march-2023-depeg.

[20] Aufiero et al., *supra* note 4, at 14 (identifying the DAO governance attack as a distinct crosstagion transmission mechanism, separate from price correlation and liquidity linkages, and noting that the on-chain execution speed of flash loan governance exploits makes human regulatory intervention impossible within a single block); *see also* VILI LEHDONVIRTA, CLOUD EMPIRES: HOW DIGITAL PLATFORMS ARE OVERTAKING THE STATE AND HOW WE CAN REGAIN CONTROL 112–18 (2023) (analyzing the concentration of nominal governance power in decentralized protocols and its implications for regulatory accountability).

[21] *See* Kaihua Qin et al., *Attacking the DeFi Ecosystem with Flash Loans for Fun and Profit*, in PROCEEDINGS OF THE 25TH INTERNATIONAL CONFERENCE ON FINANCIAL CRYPTOGRAPHY AND DATA SECURITY 3 (2021) (documenting the mechanics of flash loan exploitation and concluding that any protocol permitting same-block governance execution is structurally vulnerable to treasury drain). The Ethereum block time of approximately twelve seconds means that a flash loan governance exploit can complete execution before any regulatory or market participant has received notice that the attack is underway.

[22] GENIUS Act Section 4(a)(1)(A) (requiring payment stablecoin issuers to maintain 1:1 reserves in U.S. dollars, Treasury bills with maturity not exceeding ninety days, or other high-quality liquid assets approved by the primary federal regulator).

The financial stability literature maps crosstagion through price correlation and liquidity linkages. It does not account for the distinctly legal mechanism by which DAO governance failure accelerates and amplifies the cascade. That mechanism deserves separate treatment because it operates at a speed and through a channel for which no existing regulatory tool was designed.

A DAO, or decentralized autonomous organization, is a protocol governed through token-weighted on-chain voting.[23] In theory, dispersed governance prevents any single actor from making decisions that harm the protocol. In practice, as both empirical research and case law have confirmed, governance power in major DeFi protocols is highly concentrated. The Nakamoto coefficient, measuring the minimum number of entities required to control a majority of governance votes, is below ten for most major protocols. Gini coefficients for governance token distribution routinely exceed 0.90.

This concentration creates a flash loan vulnerability that has been exploited with devastating efficiency. A flash loan allows an attacker to borrow a virtually unlimited quantity of tokens in a single transaction, as long as the loan is repaid within the same block. If a protocol's governance rules allow a token majority to pass and execute proposals within a single block, an attacker can borrow governance tokens, pass a malicious proposal, drain the treasury, repay the loan, and exit, all before the Ethereum network has processed the next block.[24]

The Beanstalk attack of April 2022 is the paradigmatic case.[25] The attacker borrowed sufficient STALK tokens to pass a "BIP-18" governance proposal that transferred the entire protocol treasury to the attacker's address. The proposal was submitted, voted on, and executed in a single transaction of approximately thirteen seconds. The $182 million drain was complete before any human could intervene. Beanstalk was not a payment stablecoin, but similar protocols are. A flash loan attack on the governance layer of a DeFi protocol that holds significant quantities of USDC, USDT, or another reserve-backed stablecoin as treasury assets would trigger forced sales of those assets at distressed prices, amplifying any existing depegging pressure.

The legal complications of DAO governance failure compound the enforcement problem. *CFTC v. Ooki DAO*[26] established that the CFTC can bring an enforcement

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[23] Aufiero et al., *supra* note 4, at 14 (identifying governance attack as a distinct transmission mechanism from price correlation or liquidity linkages, and noting that the on-chain execution speed of flash loan governance exploits makes human intervention impossible within a single block).

[24] *Sarcuni v. bZx DAO*, No. 3:22-cv-00618-LAB-DEB, 2022 WL 16908425 (S.D. Cal. Nov. 14, 2022) (denying defendants' motion to dismiss and holding that plaintiffs had plausibly alleged that bZx DAO token holders constituted a general partnership under California law, potentially exposing individual token holders to personal liability for the protocol's $55 million security failure).

[25] *See* Beanstalk Post-Mortem, *supra* note 14; Aufiero et al., *supra* note 4, at 15 (characterizing the Beanstalk attack as the paradigmatic case of flash loan governance exploitation and noting that the $182 million treasury drain was the largest single-transaction exploit in DeFi history at the time of occurrence).

[26] *CFTC v. Ooki DAO*, *supra* note 12. The court's holding that the CFTC can sue a DAO as an unincorporated association was significant, but the enforcement timeline illustrates the speed problem: the CFTC brought its action in September 2022, the court entered default judgment in June 2023, and the $643,542 penalty remained uncollected as of the date of this Article because the DAO held no attachable assets in any U.S. jurisdiction.

action against a DAO as an unincorporated association. *Sarcuni v. bZx DAO*[27] held that token holders of an unregistered DAO may face personal liability as general partners. *Van Loon v. Department of Treasury*[28] held that immutable smart contracts are not "property" subject to OFAC sanctions. Together these cases describe a landscape in which the CFTC can sue a DAO but cannot attach its assets; token holders face liability but through a process that takes years; and the code that executed the damage remains deployed and functional on the blockchain. None of these tools operates on the timescale of a crosstagion cascade.[29]

The critical legal implication is this: when a DAO governance exploit occurs in a protocol that holds stablecoin reserves or operates stablecoin-denominated derivative markets, the cascade it triggers falls simultaneously into the jurisdictions of the OCC (because stablecoin reserves are affected), the CFTC (because derivative markets respond), and potentially the SEC (because the distress may alter the security/commodity classification of the stablecoin itself). No agency has been designated to act first. No statute specifies who calls whom. And the cascade will be over before any agency has identified the trigger.

Part II: How GENIUS and CLARITY Leave the Reverse Channel Unowned

The statutory architecture is forward-looking by design. GENIUS and the CLARITY Act were built to contain the risks that stablecoin markets have historically posed to traditional finance: reserve-asset runs, investor losses, and contagion originating in DeFi. They address those risks with considerable care. What neither statute addresses is the reverse direction: the pathway by which stress originating in traditional banking cascades into DeFi through the stablecoin reserve channel. This Part traces each statute's architecture against the crosstagion transmission model Part I described. Section A shows that GENIUS's reserve requirements and insolvency provisions speak to issuer failure, not to reserve degradation caused by a third-party bank. Section B shows that CLARITY's mutual exclusion clause creates an acute classification ambiguity—the classification cliff—at precisely the moment of maximum market stress. Section C analyzes the SEC's residual authority under the *Howey* investment contract test and explains why a depegged stablecoin may ripen into a security at the worst possible moment. Section D identifies

[27] *Sarcuni v. bZx DAO*, *supra* note 13. Personal liability for token holders, even if ultimately established, would require years of litigation to resolve and would provide no relief on the timescale of a crosstagion cascade.

[28] *Van Loon v. Dep't of the Treasury*, 122 F.4th 549 (5th Cir. 2024) (holding that OFAC lacked authority to sanction the immutable smart contracts of Tornado Cash because immutable code cannot be "property" belonging to a foreign person). The Fifth Circuit's reasoning has direct implications for crosstagion: if immutable smart contracts are not property, they cannot be subject to receivership, injunction, or any traditional regulatory intervention.

[29] The jurisdictional problem is not merely that the CFTC cannot easily identify a defendant when a DAO-governed reserve fails. It is that the CFTC's traditional enforcement toolkit—injunctions, asset freezes, and receiverships—presupposes an identifiable legal person against whom those remedies can be directed. When the counterparty is a smart contract on a permissionless blockchain, none of those tools function. *See generally* Seth C. Oranburg, *Market Power and Governance Power: New Tools for Antitrust Enforcement in the Decentralized Gig Economy*, CPI ANTITRUST CHRON., Feb. 2026, at 1 (analyzing similar enforcement gaps in decentralized governance structures).

the resulting three-agency jurisdictional gap and explains why the FSOC's existing coordination tools cannot close it at the speed a crosstagion cascade demands.

A. The GENIUS Act's Prudential Architecture

The GENIUS Act creates a tiered regulatory framework for payment stablecoin issuers. Issuers with more than ten billion dollars in outstanding tokens must obtain a federal license from either the OCC (as a national bank trust charter), the Federal Reserve (as an insured depository institution), or the FDIC. Smaller issuers may operate under state regulatory regimes that the Stablecoin Certification Review Committee certifies as "substantially similar" to the federal standard.[30]

The Act's reserve requirements are stringent by historical standards. Section 4 mandates 1:1 reserves in high-quality liquid assets, primarily Treasury bills with maturities not exceeding ninety days.[31] Monthly attestations by registered accounting firms are required. The OCC's implementing NPRM specifies eligible reserve assets and custodial requirements in detail, including segregation requirements designed to prevent commingling of reserve assets with the issuer's general funds.[32]

GENIUS also provides a meaningful insolvency framework. Section 11 establishes priority for stablecoin token holders over general creditors in the event of issuer bankruptcy, and Section 4(a)(1)(B) mandates at-par redemption rights that constitute a contractual basis for breach of contract claims. These provisions address the forward channel with considerable care: if the stablecoin issuer fails, token holders have priority claims on reserve assets and contractual redemption rights.

The reverse channel is a different problem, and the regulatory architecture addresses it only partially. The Act's reserve requirements specify what assets must be held; they do not specify what happens when those assets are frozen by a third-party bank failure, dis-

[30] GENIUS Act Section 3(c) (authorizing the Treasury-chaired Stablecoin Certification Review Committee, composed of Treasury, Fed, and OCC members, to certify state regulatory regimes as "substantially similar" to federal standards); Section 15 (establishing FSOC reporting but not a standing coordination mechanism). Notably absent is any provision for CFTC representation on the Certification Review Committee, despite the CFTC's jurisdiction over the derivative markets through which reverse crosstagion propagates.

[31] GENIUS Act Section 4(a)(1)(A) (specifying reserve asset categories: U.S. dollars, insured demand deposits at federally insured banks, Treasury bills with maturities not exceeding ninety days, Treasury notes or bonds with remaining maturities not exceeding two years, and other HQLA approved by the primary federal regulator). Section 4(a)(2) requires monthly attestation by a registered public accounting firm that reserve assets meet these requirements.

[32] OCC NPRM, *supra* note 11, at 14,025–26 (specifying eligible reserve assets and custodial requirements for national bank stablecoin issuers).

rupted by a Treasury market event, or degraded by a credit shock.[33] The OCC NPRM, which is the most detailed operational articulation of the GENIUS framework to date, takes two significant steps toward mitigating reverse-channel risk. Proposed Section 15.11(c) imposes concentration limits requiring that no more than forty percent of an issuer's total reserves be held at any single eligible financial institution, directly targeting the single-bank exposure that caused the USDC depeg. Had Circle's reserves been distributed in compliance with this limit, no single bank failure could have frozen more than forty percent of USDC reserves, which is a meaningful reduction in the magnitude of reverse-channel exposure, though not its elimination. Proposed Section 15.12(c) creates a seven-day redemption extension triggered when redemption demands exceed ten percent of outstanding issuance within a twenty-four-hour window, providing breathing room to liquidate Treasuries or await FDIC resolution. Together, these provisions substantially reduce the probability that a single traditional bank failure will cause an immediate and total reserve freeze of the kind that occurred during the SVB event.

What these provisions do not—and structurally cannot—address is the DeFi derivative-market cascade that follows even a brief stablecoin depeg. A stablecoin that trades at $0.87 for twenty-four hours triggers automated liquidations in DeFi collateral markets regardless of whether the issuer's reserve position is ultimately restored. The derivative-market cascade operates through the secondary-market price of the stablecoin, not through the issuer's balance sheet, and it lands in markets over which the OCC has no jurisdiction. The NPRM contains no mechanism for coordinating with the CFTC when a reserve stress event triggers derivative market cascades.[34] It does not cite the CLARITY Act.[35]

The Act's inter-agency coordination provisions are similarly limited in scope. Section 15 mandates annual reports from primary regulators and FSOC, providing a macroprudential monitoring framework.[36] The Stablecoin Certification Review Committee in-

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[33] The SVB shock illustrates the problem with precision. A stablecoin issuer holding a significant portion of reserves at a single bank that subsequently fails is not in violation of any reserve requirement in the current GENIUS framework so long as the nominal dollar value of the reserve account is covered by FDIC insurance or FDIC receivership. The degradation occurs not in the accounting balance but in the liquidity timeline: reserves that are frozen pending receivership proceedings are functionally unavailable for same-day redemption. GENIUS does not address this timing gap, and the OCC NPRM's concentration limits and redemption circuit breaker, while reducing single-institution exposure, do not extend to the DeFi derivative markets where a temporary depeg immediately registers as collateral shortfall. *See* OCC NPRM, *supra* note 11 (proposing concentration limits under proposed Section 15.11(c) and a redemption extension under proposed Section 15.12(c), but containing no provision addressing CFTC-regulated derivative markets).

[34] OCC NPRM, *supra* note 11, at 14,031 (addressing coordination with state regulators and the Federal Reserve for dual-chartered banks, but making no reference to CFTC coordination in the event of a reserve stress event).

[35] The OCC NPRM does not cite the CLARITY Act even once. *See generally* OCC NPRM, *supra* note 11. This omission is significant: the NPRM was issued on March 2, 2026, after CLARITY had been under congressional consideration for over a year, suggesting that the OCC does not currently view CLARITY's commodity classification framework as relevant to its stablecoin reserve supervision.

[36] GENIUS Act Section 15(a) (requiring the primary federal payment stablecoin regulator to submit annual reports to Congress on systemic risks); Section 15(b) (directing FSOC to incorporate those reports into its annual systemic risk review). The Act does not, however, establish any mechanism for real-time inter-agency coordination during a stress event.

cludes Treasury, the Fed, and the OCC.[37] The CFTC is not represented on that committee, despite holding jurisdiction over the derivative markets through which a large share of crosstagion propagates. The FSOC reporting mechanism is retrospective by design; it documents systemic risks that have already materialized, not risks that are propagating in real time.

B. The CLARITY Act's Commodity Classification Framework

The CLARITY Act resolves a decade of legal uncertainty about the regulatory classification of digital assets by creating a comprehensive "digital commodity" category. Under Section 201, a digital asset that operates on a functional, decentralized network qualifies as a digital commodity, and the CFTC receives exclusive jurisdiction over its spot market.[38] Section 301 extends that jurisdiction to all derivatives referencing the digital commodity, including the perpetual futures contracts that serve as the primary vehicle for leveraged DeFi exposure to stablecoin prices.[39]

For the crosstagion analysis, the CLARITY Act's most important provision is the mutual exclusion clause it inserts into the GENIUS framework. Section 401 specifies that a payment stablecoin compliant with GENIUS is not a digital commodity for CFTC purposes. The intent was to prevent dual registration: a GENIUS-compliant stablecoin should not need to register with the CFTC as a commodity simply because it trades on decentralized exchanges. The provision achieves that goal, but it creates an unintended consequence in the stress context.[40]

When a stablecoin breaks its peg, even temporarily, its GENIUS compliance status becomes ambiguous. An asset that is trading at $0.87 rather than $1.00 may no longer qualify as a "payment stablecoin" under the Act's definitional provisions, which reference an asset designed to "maintain a consistent 1:1 value." If the stablecoin loses its GENIUS compliance classification, even temporarily, it falls into the digital commodity

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[37] GENIUS Act Section 3(c). The Committee's membership (Treasury, the Federal Reserve, and the OCC) reflects the Act's focus on the banking system as the relevant regulatory frame of reference. The CFTC's omission is not an oversight; it is a structural artifact of designing the statute around the forward channel, in which the OCC-supervised issuer is the origin of risk, rather than the reverse channel, in which the CFTC-supervised derivative markets are the destination of the cascade.

[38] CLARITY Act Section 201 (defining "digital commodity" to include any digital asset that operates on a functional, decentralized network and granting the CFTC exclusive jurisdiction over the spot market for such assets); Section 203 (providing that a digital asset certified as a digital commodity by the issuer retains that classification unless the SEC affirmatively determines otherwise).

[39] *Id.* Section 301 (assigning CFTC jurisdiction over digital commodity derivatives, including perpetual futures and options contracts); *see also* Commodity Exchange Act Section 2(a)(1)(A), 7 U.S.C. Section 2(a)(1)(A) (2025) (granting CFTC exclusive jurisdiction over futures contracts and swap agreements referencing commodities).

[40] *See* GENIUS Act Section 17 (exempting GENIUS-compliant payment stablecoins from securities registration requirements); CLARITY Act Section 401 (establishing that a digital asset that qualifies as a payment stablecoin under GENIUS is not a digital commodity for CFTC purposes). This mutual exclusion clause was inserted in late-stage conference negotiations and was intended to prevent dual registration. It has the unintended consequence of creating a classification cliff: a stablecoin that loses its GENIUS compliance under stress (for example, by temporarily breaking its peg) falls into either the securities category or the commodity category, and no agency has been designated to make that determination in real time.

category, triggering CFTC jurisdiction over its spot market at precisely the moment when the OCC is attempting to manage the issuer's reserve situation.[41]

The CLARITY Act also does not address what happens in the derivative markets when a reserve stress event occurs. Section 301 grants the CFTC jurisdiction over digital commodity derivatives, but it does not require the CFTC to coordinate with the OCC when those derivative markets are reacting to an OCC-supervised event.[42] The CFTC's traditional tools for managing derivative market stress—position limits, emergency liquidation orders, and trading halts—can be deployed against exchange operators and large traders. They cannot be deployed against the DeFi protocols that now hold a substantial share of stablecoin derivative open interest, because those protocols are smart contracts, not registered intermediaries.

C. The SEC's Residual Howey Authority

The GENIUS Act and CLARITY Act both preserve the SEC's authority to classify any digital asset as a security under the investment contract test established in *S.E.C. v. W.J. Howey Co.*, 328 U.S. 293, 298–99 (1946). Under *Howey*, an instrument is a security if it involves an investment of money in a common enterprise with a reasonable expectation of profit derived from the efforts of others. The SEC's longstanding position is that a reserve-backed stablecoin trading at par is not a security: a holder who expects exactly $1.00 in redemption value has no expectation of profit. A depegged stablecoin presents a materially different posture.

A stablecoin that traded at par yesterday but trades at $0.87 today occupies the most ambiguous region of the *Howey* analysis. A purchaser at $0.87 holds an instrument whose recovery to par depends on the issuer's actions to restore its reserves; this is a contingency that resembles an expectation of profit from another's efforts more than a payment transaction. The SEC has applied this economic-reality framing to distressed digital instruments in prior enforcement actions. Critics offer two replies: the expected gain is recovery to par, not appreciation above it; and stablecoin holders do not pool funds or share in issuer profits as a common enterprise conventionally requires. The theory has not been tested in the specific context of a reserve-backed depeg, and a reviewing court might reject it. But the SEC's demonstrated enforcement posture makes the threat concrete. An SEC enforcement action asserting unregistered-security status during a depeg—even if ultimately unsuccessful—would introduce litigation-driven asset freezes, registration demands, and adversarial discovery into a stabilization effort that requires coordinated operational decisions at speed. The standstill clause proposed in Part III must bind the SEC as a full party, not an afterthought.

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[41] This scenario is not hypothetical. USDC briefly depegged in March 2023. Had the depeg persisted for more than twenty-four hours, legal uncertainty about its classification would have hampered both OCC and CFTC responses. *See supra* notes 8–10 and accompanying text.

[42] *See* Financial Stability Oversight Council, *Guidance on Nonbank Financial Company Determinations* (Nov. 2023) (establishing a multi-stage process for SIFI designation that includes preliminary analysis, a notice-and-comment period, a hearing opportunity, and a final determination, with an estimated timeline of twelve to eighteen months from initiation to completion). The designation process presupposes that the systemic risk to be addressed has been identified prospectively, not that a crisis is already propagating at blockchain speed.

D. The Coordination Gap: An Unowned Boundary

The jurisdictional gap can be stated precisely. When a reverse crosstagion event occurs, three agencies hold colorable authority over distinct aspects of a single cascade: the OCC holds jurisdiction over the stablecoin issuer and its reserve assets; the CFTC holds jurisdiction over the derivative markets where the cascade propagates; and the SEC may claim residual jurisdiction if the stablecoin's depeg causes it to be reclassified as a security under the investment contract test. No statute designates a lead agency among them, and no mechanism assigns primacy in real time.[43] The nearest statutory mechanism for resolving such conflicts—the FSOC designation process under Dodd-Frank Section 113—operates on a timescale of months, not hours.[44]

The Dodd-Frank Act's response to the 2008 financial crisis illustrates both the template and its limits. The AIG failure exposed a similar gap between the Office of Thrift Supervision, which supervised AIG's holding company, and the Federal Reserve, which supervised its bank subsidiaries.[45] Dodd-Frank's response was not new prudential requirements but a new inter-agency coordination body: the FSOC, established under Section 112 with authority to designate systemically important financial institutions[46] and, under Section 119, to facilitate information sharing and coordination among member agencies.[47]

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[43] The absence of a lead-agency designation is not merely an administrative gap; it has substantive consequences. Under current law, each of the three agencies may independently initiate an enforcement action, issue emergency orders, or request court relief without coordinating with the others. *See* Dodd-Frank Act Section 119, 12 U.S.C. Section 5329 (2025) (authorizing but not requiring FSOC to facilitate coordination); 15 U.S.C. Section 78u (2025) (authorizing SEC enforcement independent of any inter-agency process); 7 U.S.C. Section 13a-1 (2025) (authorizing CFTC enforcement independent of any inter-agency process). The result is that during a live crosstagion event, competing agency actions are not only possible but legally authorized.

[44] The existing inter-agency coordination model most relevant to the crosstagion gap is the FSOC designation process under Dodd-Frank Act Section 113, 12 U.S.C. Section 5323 (2025), which authorizes FSOC to designate non-bank financial companies as systemically important financial institutions (SIFIs), triggering enhanced Federal Reserve supervision. While FSOC designation is theoretically available for stablecoin issuers, the process is designed for prospective risk identification, not real-time crisis coordination. FSOC has not used its SIFI designation authority since 2021.

[45] The 2008 financial crisis produced a similar jurisdictional gap between the Office of Thrift Supervision, which regulated AIG's holding company, and the Federal Reserve, which regulated its bank subsidiaries, creating uncertainty about which agency bore primary responsibility for AIG's credit default swap portfolio. The lesson the Dodd-Frank Act drew was not to add new prudential requirements to CDS issuers but to designate a systemic risk oversight body (FSOC) with cross-agency coordination authority. The crosstagion problem calls for the same analytical move applied to the OCC-CFTC boundary.

[46] Dodd-Frank Act Section 112, 12 U.S.C. Section 5322 (2025) (establishing FSOC and authorizing it to designate nonbank financial companies for enhanced Federal Reserve supervision under Section 113); Financial Stability Oversight Council, *Annual Report 2023*, at 9 (noting that FSOC rescinded all prior SIFI designations and had made no new nonbank designations since 2021 under revised designation guidance).

[47] *See generally* Dodd-Frank Wall Street Reform and Consumer Protection Act Section 119, 12 U.S.C. Section 5329 (2025) (authorizing FSOC to "facilitate information sharing and coordination among the member agencies"); Section 120, 12 U.S.C. Section 5330 (authorizing FSOC to recommend prudential standards to primary financial regulators). These authorities are advisory and prospective; they do not create a mechanism for real-time jurisdictional primacy determination during a live crisis.

FSOC is not, however, well-suited to the crosstagion problem as it currently operates. The SIFI designation process is designed for prospective risk identification; it is not a real-time crisis management tool.[48] The statute's coordination authorities are advisory, not binding. And FSOC has not used its designation authority since 2021. A crosstagion cascade that propagates from a bank failure through a stablecoin depeg into DeFi derivative markets within hours does not wait for FSOC to convene a meeting.

The Supreme Court's 2024 decision in *Loper Bright Enterprises v. Raimondo* compounds the jurisdictional gap identified above. By overruling *Chevron U.S.A., Inc. v. Natural Resources Defense Council*, the Court shifted interpretive authority over ambiguous statutory provisions from expert agencies to the federal judiciary. The practical consequence for crosstagion regulation is significant: neither the OCC nor the CFTC can rely on a court to defer to its own reading of whether GENIUS, the CLARITY Act, or Dodd-Frank Section 119 grants it authority to intervene in a stress event that crosses the reserve-asset-to-derivative-market boundary. Prior to *Loper Bright*, an agency acting under an ambiguous but plausible statutory mandate during a financial crisis could be reasonably confident that a reviewing court would sustain its interpretation. That confidence is no longer warranted. An OCC emergency directive issued during a USDC depeg event, or a CFTC trading halt on stablecoin perpetual futures justified by a broad reading of the Commodity Exchange Act, will now be reviewed de novo by a generalist court that owes no deference to the agency's considered view of its own jurisdiction. This increases the legal fragility of any agency-led, unilateral response to a crosstagion event and reinforces, with urgency, the argument developed in Part III: coordination authority must be grounded in explicit statutory text, not in agencies' own interpretations of implied powers.[49]

Part III: A Coordination Mechanism for Crosstagion

Part II established that the jurisdictional gap is structural: it arises from assigning regulatory authority to distinct agencies without specifying how those authorities interrelate when stress propagates across their boundaries. The instinctive regulatory response—more prudential requirements on stablecoin issuers—cannot close a gap that originates in traditional banking and propagates through a channel that balance-sheet regulation does not reach. A different kind of intervention is required: a pre-authorized,

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[48] The CFTC's Market Risk Advisory Committee (MRAC), established under the Federal Advisory Committee Act, has a Digital Assets Subcommittee that has published guidance on DeFi risk. The OCC's Bank Supervision Policy division oversees the OCC's implementing regulations for GENIUS-chartered stablecoin issuers. Both bodies have participated in FSOC's inter-agency working groups on digital asset systemic risk. Neither has a standing mandate to notify the other when stress indicators are met.

[49] *Loper Bright Enters. v. Raimondo*, 603 U.S. 369 (2024) (overruling *Chevron U.S.A., Inc. v. Natural Res. Def. Council*, 467 U.S. 837 (1984), and holding that courts must exercise independent judgment when construing the scope of agency authority under ambiguous statutory provisions). The post-*Loper Bright* regime creates particular difficulties for inter-agency coordination mechanisms that are grounded in agencies' own constructions of their enabling statutes, because any such construction is now subject to de novo judicial review. *See also* Peter Conti-Brown & Sean Vanatta, *Risk, Discretion, and Bank Supervision*, 130 COLUM. BUS. L. REV. (2025) (discussing post-*Loper Bright* implications for financial-agency coordination and emergency powers).

trigger-based mechanism that assigns jurisdictional primacy before a crisis crosses agency lines, binds all three agencies whose claims would otherwise compete during a depeg event, and freezes the classification ambiguity that GENIUS and CLARITY inadvertently create under stress. Section A explains why prudential tools cannot solve the problem. Section B surveys the statutory authority that already exists for the mechanism. Section C specifies the mechanism's components. Section D addresses three objections to the proposal that, if left unanswered, would undermine confidence in the mechanism's workability.

A. Why New Prudential Requirements Are Insufficient

The instinctive regulatory response to a newly identified systemic risk is to impose new prudential requirements on the institutions that originate it. For the crosstagion problem, that instinct leads in the wrong direction. The reverse channel does not originate in stablecoin issuers; it originates in traditional banks and Treasury markets. Imposing additional reserve requirements on stablecoin issuers would not have prevented the SVB cascade; Circle's reserves were invested in exactly the assets GENIUS would require. What failed was not the reserve composition; it was the liquidity timeline and the absence of a coordinated agency response.[50]

The macroprudential literature frames this as the difference between micro-prudential and macro-prudential regulation.[51] GENIUS is a micro-prudential statute: it regulates individual stablecoin issuers and their balance sheets. The crosstagion gap is a macro-prudential problem: it concerns the transmission of stress between the banking system and the DeFi ecosystem through the stablecoin channel. Closing that gap requires a cross-agency coordination mechanism, not higher capital ratios.

An additional prudential argument fails on its own terms for the DAO governance problem. No reserve requirement can prevent a flash loan governance attack. No capital ratio can protect against a thirteen-second exploit that drains a protocol's treasury before any human has reacted. The DAO transmission mechanism is fundamentally different from the reserve degradation mechanism, and it requires an enforcement response calibrated to its speed, not a prudential response designed for balance sheet management.

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[50] Each indicator is publicly verifiable without new data-collection infrastructure. Stablecoin prices trade continuously on public exchanges including Coinbase, Kraken, and Binance, with real-time data available through providers including Kaiko and CoinGecko. Perpetual futures open interest data is published by major derivatives exchanges including the Chicago Mercantile Exchange and dYdX. Governance token holdings are readable directly from on-chain wallet addresses on public blockchains. A regulatory monitoring system based on these data sources could be operational within ninety days of issuance of an implementing MOU.

[51] The financial stability literature uses the term "macroprudential gap" to describe regulatory frameworks that supervise individual institutions adequately but fail to address systemic transmission. *See* Charles Goodhart & Anil Kashyap, *The Macroprudential Stance*, in THE NEW PALGRAVE DICTIONARY OF ECONOMICS (2017). THE CROSSTAGION GAP IDENTIFIED IN THIS ARTICLE IS A SPECIES OF MACROPRUDENTIAL GAP: GENIUS REGULATES STABLECOIN ISSUERS; CLARITY REGULATES DIGITAL COMMODITY MARKETS; NEITHER ADDRESSES THE TRANSMISSION CHANNEL BETWEEN THEM.

B. Existing Models for Inter-Agency Coordination

Two existing models are relevant to the coordination mechanism proposed here. The first is the Federal Reserve's emergency lending authority under Section 13(3) of the Federal Reserve Act.[52] During the 2023 banking stress, the Fed invoked 13(3) to create the Bank Term Funding Program within days, deploying a pre-authorized facility that had been designed in advance for exactly this kind of stress event. The critical feature was pre-authorization: Congress had already granted the authority, the Fed had already designed the mechanism, and deployment required only a determination that the triggering conditions were met. A crosstagion coordination mechanism should be designed with the same architecture.

The second model is Dodd-Frank Section 119, which authorizes FSOC to "facilitate information sharing and coordination among the member agencies."[53] This authority has been used primarily for information-sharing memoranda and periodic joint examinations. It has not been used to create a binding primacy designation mechanism, but the inter-agency MOU form is well-established: the Federal Reserve and the CFTC executed a coordination MOU in 2012 to govern joint supervision of designated financial market utilities, demonstrating that binding cross-agency coordination protocols can be built on existing statutory foundations without new legislation. That is a gap in implementation, not in statutory authority. An MOU among the OCC, CFTC, and SEC, authorized under Section 119 and codifying the primacy rules proposed in Section C below, could be put in place without new legislation. A statutory amendment would be substantially more durable: as Part II.D established, *Loper Bright Enterprises v. Raimondo* subjects an MOU resting on the agencies' own statutory interpretations to de novo judicial review, and a court examining whether Section 119 authorizes binding primacy designation—rather than the advisory information-sharing the provision has historically supported—may conclude that it does not.

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[52] The Federal Reserve's emergency lending authority under 13(3) of the Federal Reserve Act, 12 U.S.C. Section 343 (2025), provides a partial model. During the 2023 banking stress, the Fed invoked 13(3) to create the Bank Term Funding Program within days. A crosstagion coordination mechanism could be modeled on this: a standing designation framework, pre-authorized by statute, that identifies which agency assumes primacy over a crosstagion event based on where the stress originates.

[53] The legal mechanism for binding the SEC to the standstill is Section 119 of Dodd-Frank, which authorizes FSOC to facilitate coordination among all member agencies, including the SEC. *See* 12 U.S.C. Section 5329 (2025). The inter-agency MOU form has been used successfully in the financial regulatory context. *See* Memorandum of Understanding Between the Board of Governors of the Federal Reserve System and the Commodity Futures Trading Commission Regarding Coordination in Areas of Common Regulatory Interest (July 2012), https://www.cftc.gov/sites/default/files/idc/groups/public/@lrfederalregister/documents/file/2012-18709a.pdf (establishing binding coordination protocols for joint supervision of designated financial market utilities). A tri-agency MOU signed by the OCC, CFTC, and SEC, and activated by the FSOC Chair, would bind the SEC to the standstill under its own consent to the MOU and under the FSOC's coordination authority. An SEC enforcement action initiated after the standstill is declared would be subject to a motion to stay on the ground that it interferes with a coordinated federal emergency response. *See generally In re Vioxx Prods. Liab. Litig.*, 501 F. Supp. 2d 789, 805 (E.D. La. 2007) (staying parallel enforcement action during coordinated federal regulatory response).

The CFTC's Market Risk Advisory Committee and the OCC's Bank Supervision Policy division represent the organizational homes for the mechanism.[54] Both bodies have existing liaison relationships through FSOC. What is missing is the statutory trigger that converts those relationships into binding coordination obligations when crosstagion stress indicators are met.

C. The Proposed Mechanism: Triggered Primacy Designation

The coordination mechanism proposed here has three components: observable stress indicators, a primacy determination rule, and a cross-notification obligation.

The stress indicators should be objective, observable in real time through public blockchain data and market feeds, and require no new regulatory data infrastructure.[55] Three categories of indicator are sufficient for initial implementation, each corresponding to a distinct mechanism of crosstagion propagation documented in Part I. The first category is a sustained secondary-market depeg: a reserve-backed stablecoin trading below peg on major exchanges for a sustained period. Secondary-market pricing is the reference value that DeFi protocols use for collateral calculations, and a depeg is therefore the leading indicator of the collateral liquidation cascade that Part I documented. The second category is a rapid decline in derivative-market open interest referencing the stablecoin. Open interest contraction signals the forced unwinding of leveraged positions that amplifies secondary-market price pressure into a self-reinforcing loop. The third category is a governance token concentration event: a single address accumulating a controlling share of outstanding governance tokens in a protocol that holds or intermediates stablecoin reserves. Governance concentration is the structural precondition for the flash loan exploits that Part I.B analyzed, and its observability on public blockchains makes it a feasible early-warning indicator. Each category is independently observable through existing public data sources. The specific trigger thresholds—the percentage depeg, the duration, the percentage decline in open interest, the concentration ratio—are empirical questions that the implementing agencies should calibrate through notice-and-comment rulemaking informed by the empirical record of prior stress events, including the magnitudes documented in Part I.

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[54] The CFTC's Market Risk Advisory Committee (MRAC) and the OCC's Bank Supervision Policy division represent the natural organizational homes for the coordination mechanism proposed here. Both bodies have existing liaison relationships through FSOC. What is missing is a statutory trigger that converts those liaison relationships into binding coordination obligations when crosstagion stress indicators are met.

[55] Each indicator category is publicly verifiable without new data-collection infrastructure. Stablecoin prices trade continuously on public exchanges including Coinbase, Kraken, and Binance, with real-time data available through providers including Kaiko and CoinGecko. Perpetual futures open interest data is published by major derivatives exchanges including the Chicago Mercantile Exchange and dYdX. Governance token holdings are readable directly from on-chain wallet addresses on public blockchains. *See supra* notes 16–19 and accompanying text (documenting the magnitudes observed during the March 2023 USDC depeg across each indicator category).

The primacy determination rule assigns lead-agency status based on the origin of the stress.[56] If the stress event originates in the reserve asset layer (specifically, a bank failure, a Treasury market disruption, or a custodial failure) the OCC assumes jurisdictional primacy over the stablecoin issuer and must notify the CFTC within one hour. If the stress event originates in the on-chain governance layer (specifically, a flash loan attack, a smart contract exploit, or a governance token concentration event) the CFTC assumes jurisdictional primacy over the derivative markets and must notify the OCC within one hour. The non-primary agency retains its baseline jurisdiction but defers to the primary agency on emergency remediation decisions for the duration of the stress event, defined as the period during which any of the triggering indicators remain active.

The cross-notification obligation closes the information gap that allowed the SVB cascade to propagate into DeFi without any agency alert. Under the current framework, the FDIC's appointment of a receiver does not trigger any notification obligation to the CFTC, even though the FDIC is fully aware that stablecoin issuers hold deposits at the failed bank and that those deposits are integral to derivative market stability. A cross-notification obligation, requiring the OCC to alert the CFTC within one hour of any reserve stress event meeting the trigger thresholds, would allow the CFTC to deploy its emergency market powers (position limits, trading halts, emergency liquidation orders) before the cascade has propagated fully into derivative markets.

The classification cliff created by GENIUS Section 17 and CLARITY Section 401 requires a fourth component: a tri-agency classification standstill. As Part II.C established, a depegged stablecoin may satisfy the *Howey* investment contract test at precisely the moment of maximum market stress, vesting the SEC with colorable jurisdiction just when the OCC and CFTC must act without interruption. A standstill clause limited to the OCC-CFTC binary—treating the stablecoin as either a payment stablecoin or a digital commodity for the duration of the stress event—leaves the most operationally disruptive of the three possible interventions unconstrained.[57] The standstill clause should therefore be tri-agency in scope: for the duration of a declared stress event, the stablecoin's pre-event regulatory classification is frozen against all three agencies. The SEC is precluded from initiating new enforcement actions asserting securities jurisdiction over

[56] The primacy rule would operate as follows: if the stress event originates in the reserve asset (a bank failure, a Treasury market disruption), the OCC assumes jurisdictional primacy over the stablecoin issuer and notifies the CFTC within one hour. If the stress event originates in the on-chain governance layer (a flash loan attack, a smart contract exploit), the CFTC assumes jurisdictional primacy over the derivative markets and notifies the OCC within one hour. In both cases, the non-primary agency retains its baseline jurisdiction but defers to the primary agency on emergency remediation decisions. This rule does not require new legislation; it can be implemented through a memorandum of understanding authorized under Dodd-Frank Section 119.

[57] The legal authority for a tri-agency standstill binding the SEC rests on two independent grounds. First, the SEC, as an FSOC member under Dodd-Frank Section 112, is subject to FSOC's coordination authority under Section 119; an MOU executed with FSOC's facilitation would bind the SEC in its capacity as a member agency. Second, the Securities Exchange Act of 1934 Section 36, 15 U.S.C. Section 78mm (2025), authorizes the SEC to grant exemptions from any provision of the Act by rule, regulation, or order, conditioned on any terms the SEC deems necessary. An SEC order granting a time-limited exemption from registration requirements for a stablecoin undergoing an FSOC-declared stress-event review would be within the SEC's existing statutory authority without the need for new legislation.

the stablecoin issuer or the stablecoin itself. The OCC retains its GENIUS-derived supervisory authority over the issuer. The CFTC retains its CLARITY-derived jurisdiction over derivative markets. Neither the OCC's nor the CFTC's emergency actions may be delayed, enjoined, or otherwise disrupted by a subsequently initiated SEC enforcement proceeding. The standstill expires upon the primary agency's certification that all triggering indicators have resolved, or after thirty days, whichever is earlier; a hard outer limit prevents the mechanism from functioning as a permanent exemption from SEC oversight.[58] Centralized activation authority resolves the threshold problem of who declares that a stress event has begun. The standstill should be activated by the FSOC Chair upon certification by either the OCC Comptroller or the CFTC Chair that one or more of the observable stress indicators identified above have been met. FSOC Chair activation, rather than unilateral agency declaration, ensures that the standstill is not used opportunistically to insulate an agency's preferred regulatory position from SEC review in non-crisis circumstances, while still permitting rapid deployment when the triggering conditions are objectively satisfied.

The mechanism does not require new legislation, though legislation would provide greater certainty. The OCC, CFTC, and SEC have authority under existing law to enter into a tri-agency MOU establishing these coordination obligations, with FSOC as the activating body under Dodd-Frank Section 119. Dodd-Frank Section 119 provides FSOC the authority to facilitate precisely this kind of coordination among member agencies.[59] The Bank Secrecy Act, the Commodity Exchange Act, the National Bank Act, and the Securities Exchange Act each contain general coordination authorities that could support the notification and standstill obligations proposed here. A statutory codification, ideally through an amendment to either GENIUS or the Commodity Exchange Act that expressly binds the SEC to the standstill rule, would be preferable because it would give the mechanism the permanence and clarity that an MOU lacks, and because *Loper Bright Enterprises v. Raimondo* has substantially elevated the litigation risk attending any agency coordination mechanism that depends on a court's acceptance of the agencies' own interpretations of their enabling statutes. The urgency of the crosstagion problem does not require waiting for the next legislative cycle, but the post-*Loper Bright* legal environment provides an additional affirmative reason to pursue a statutory amendment rather than treating it merely as a supplement to agency action.

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[58] The standstill operates prospectively only: it precludes new enforcement actions and new registration demands initiated after the standstill is declared. It does not stay, dismiss, or otherwise affect any SEC enforcement action that was pending before the standstill declaration. This limitation preserves the SEC's enforcement rights while preventing a newly initiated action from disrupting the emergency coordination in progress.

[59] A statutory codification would also resolve a drafting ambiguity in the current Dodd-Frank framework. Section 119 authorizes FSOC to "facilitate" coordination among member agencies but does not explicitly authorize FSOC to issue binding directives. A statutory amendment expressly authorizing the FSOC Chair to activate a classification standstill upon certification of specified stress indicators would resolve any ambiguity about whether Section 119 supports that specific function, and would simultaneously satisfy the *Loper Bright Enterprises v. Raimondo* requirement that agency authority rest on explicit statutory text rather than implied powers. *See Loper Bright Enters. v. Raimondo*, 603 U.S. 369, 392–93 (2024).

D. Addressing Three Objections

Three objections to the proposed mechanism warrant explicit treatment. The first is that coordinating a regulatory response creates moral hazard by signaling that a crosstagion event will trigger a government backstop, reducing issuers' incentives to maintain genuinely diversified reserves. The objection misunderstands the mechanism's function. The mechanism does not prevent depegs, absorb losses, or protect issuers from reserve mismanagement. Circle's exposure to SVB was not illegal; it was imprudent, and GENIUS's prudential requirements address that problem directly. The coordination mechanism addresses the regulatory response to a depeg, not the underlying behavior that caused it. Issuers remain subject to GENIUS's reserve requirements and attestation obligations and remain liable in insolvency for any reserve shortfall. A mechanism that prevents three agencies from issuing conflicting emergency orders during a crisis does not make reserve concentration safer; it makes the aftermath less chaotic.

The second objection is that the classification standstill infringes on the SEC's core statutory authority to protect investors. The standstill's reach is more limited than this objection assumes. It is temporary, capped at thirty days. It operates prospectively only: pending SEC enforcement actions are unaffected. The SEC retains full authority to investigate and gather evidence throughout the standstill period and full enforcement authority once the standstill expires. As Part II.C established, the SEC's *Howey* claim in the reserve-backed depeg context is contested on the merits. Deferring a disputed classification decision until after the crisis imposes no meaningful cost on investor protection when the alternative is an enforcement action that introduces asset freezes and registration demands into an ongoing stabilization effort.

The third objection is that no mechanism operating on a one-hour notification timeline can address cascades that propagate at blockchain speed. This objection is correct on the premise but beside the point on the conclusion. The mechanism is not designed to halt liquidations in real time or to prevent DeFi protocols from executing their smart contract logic. Nothing can do that. It is designed to prevent three agencies from taking conflicting regulatory actions that compound the stress: issuing contradictory emergency orders, asserting competing jurisdiction over the same issuer, or introducing adversarial litigation into a stabilization effort. Those are human-speed coordination failures that a one-hour timeline can prevent. The SVB-USDC event unfolded over seventy-two hours from Circle's initial disclosure to the FDIC's backstop announcement. Even a one-hour head start on coordinated agency action would have been sufficient to avoid the worst regulatory conflicts. The mechanism cannot stop a flash loan exploit in thirteen seconds. What it can stop is the three-way jurisdictional contest among the OCC, the CFTC, and the SEC that would follow.

Conclusion

The GENIUS Act and the CLARITY Act together represent the most significant federal regulation of digital assets in U.S. history. They will meaningfully reduce the systemic risks that the stablecoin market has historically posed to traditional finance. They

will not, however, prevent the next SVB cascade, because they were designed to address the forward channel of crosstagion and leave the reverse channel unaddressed.

The reverse channel is not a theoretical risk. It is a documented phenomenon with a clear empirical record, a well-understood mechanism, and a specific jurisdictional gap that this Article has identified and mapped. When traditional financial stress destabilizes payment stablecoin reserves, the cascade into decentralized markets falls between the OCC's jurisdiction over the issuer, the CFTC's jurisdiction over the derivative markets, and the SEC's potential enforcement jurisdiction over a depegged instrument that may satisfy the *Howey* investment contract test. No statute assigns lead-agency responsibility. No mechanism triggers coordination. And the three-way jurisdictional contest among these agencies, if it materializes in real time, will compound rather than contain the cascade. DAO governance failure can accelerate the underlying crisis to blockchain speed, exhausting all available enforcement tools before any agency has received its first alert.

The solution is not more prudential requirements. It is a pre-designated inter-agency coordination mechanism, triggered by observable stress indicators, that assigns jurisdictional primacy before a crisis rather than after. The legal authority for that mechanism already exists. What is missing is an executed tri-agency MOU—activated by the FSOC Chair upon certification of the stress indicators this Article has identified—before the next reverse crosstagion event forces three agencies into jurisdictional competition during a live cascade. The author has submitted a comment letter to the OCC in the GENIUS Act implementing rulemaking, applying the crosstagion framework developed here to five specific questions in the NPRM and recommending secondary-market monitoring requirements, crosstagion stress testing, simultaneous-stress scenario analysis, governance risk assessment, and inter-agency notification through FSOC.[60]

[60] Seth C. Oranburg, *Comment Letter on Implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the Office of the Comptroller of the Currency*, Docket ID forthcoming (on file with the Office of the Comptroller of the Currency), https://www.regulations.gov (applying the crosstagion framework to OCC NPRM Questions 86, 109, 117, 119, and 147–148).